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Secure Distribution Venture Pvt. Ltd.

What Is Structured Promoter Funding?

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Executive Summary & Strategic Overview

Structured Promoter Funding represents one of the most vital, high-yield customized credit architectures within the Indian wholesale corporate finance landscape. Designed specifically to serve the strategic capital requirements of corporate founders, main promoters, and parent holding entities, this financial product enables promoters to mobilize significant capital—typically ranging from INR 50 Crores to over INR 1,500 Crores—without diluting their core equity ownership or voting control in their operating companies.

Historically, Indian commercial banks operated under stringent Reserve Bank of India (RBI) regulations restricting direct bank lending against security of equity shares to prevent speculative capital market inflation. Consequently, the market for Structured Promoter Funding has migrated toward specialized Non-Banking Financial Companies (NBFCs) and SEBI-registered Category II Alternative Investment Funds (AIFs) / Private Credit Funds. These institutional lenders utilize bespoke debt instruments—such as Structured Non-Convertible Debentures (NCDs), Payment-In-Kind (PIK) notes, and subordinated HoldCo facilities—backed by dematerialized share pledges with dynamic cover ratios (typically 2.0x to 3.0x), cash-flow escrow accounts, and strict debt service waterfalls.

This white paper serves as an exhaustive, 11-chapter educational masterclass engineered to provide finance professionals, corporate advisors, founders, and students with end-to-end mastery of Structured Promoter Funding in India. Every regulatory mandate, legal requirement under the Companies Act 2013, taxation provision under the Income Tax Act 1961, and insolvency protection under the Insolvency and Bankruptcy Code (IBC) 2016 is analyzed with complete mathematical, structural, and legal rigor.

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Chapter 1: Product Overview & Core Fundamentals of Structured Promoter Funding

Structured Promoter Funding is a specialized wholesale credit product extended to the promoters, principal shareholders, or parent holding entities (HoldCos) of established corporate groups. Unlike standard corporate term loans that are underwritten directly against operating fixed assets (such as land, machinery, or factories) and serviced via operating business cash flows at the operating company (OpCo) level, Structured Promoter Funding is underwritten against the equity value, market capitalization, and dividend-generating capacity of the promoter's underlying equity holdings.

The primary collateral securing this facility comprises a formal pledge over dematerialized equity shares held by the promoter in listed operating companies (or high-value unlisted operating subsidiaries) deposited in NSDL/CDSL accounts. This collateral is reinforced by structured covenants, including dynamic share pledge cover ratios, margin call triggers, escrow trust & retention account (TRA) waterfalls, and personal or corporate guarantees.

1.1 Strategic Objectives & Key Promoter Use Cases

- **Buyout of Early Financial Investors (PE/VC Funds):** When private equity or venture capital investors in an operating subsidiary reach the end of their fund life (e.g. 7 to 10 years) and require a full cash exit, promoters can raise structured promoter debt at the HoldCo level to acquire the investor's equity stake, preventing hostile secondary sales or forced premature IPOs.
- **Promoter Equity Consolidation:** Promoters seeking to increase their voting stake in listed operating subsidiaries (e.g. increasing shareholding from 42% to 55% via open market purchases or preferential allotments under SEBI SAST Regulations) utilize structured promoter funding to finance share acquisitions.
- **Funding Promoter Contribution for Greenfield/Brownfield Capex:** Project finance lenders extending large term loans to operating companies mandate a minimum 25% to 30% promoter equity contribution. Promoters utilize promoter funding to raise this equity contribution without selling their existing core shareholdings.
- **Pre-IPO Liquidity Restructuring & Debt Optimization:** Promoters restructure personal or holding company liabilities ahead of an initial public offering (IPO), repaying fragmented short-term debts and establishing clean, institutional long-term holding structures.

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Table 1.1: Product Comparison Matrix — Structured Promoter Funding vs. Retail LAS vs. Bank Term Loans vs. Equity Dilution

Feature / Dimension	Structured Promoter Funding	Retail Loan Against Shares (LAS)	Standard Bank Term Loan	Fresh Equity Issuance
Borrowing Entity	Promoter / HoldCo Entity	Individual / Retail Investor	Operating Company (OpCo)	Operating Company (OpCo)
Primary Security	Demat Share Pledge + Escrow TRA	Demat Share Pledge Only	First Charge on Fixed Assets	None (Equity Ownership Sold)
Typical Ticket Size	INR 50 Cr to INR 1,500 Cr+	INR 10 Lakhs to INR 20 Cr	INR 25 Cr to INR 2,000 Cr+	Variable (Dilutive Equity)
Pledge Cover Ratio	2.0x to 3.0x Dynamic Cover	2.0x Fixed LTV (50% max)	Asset Cover 1.25x to 1.50x	Not Applicable
Primary Servicing Source	Upstream Dividends / Cash Sweep	Personal Cash Income / Salary	Operating Business EBITDA	No Debt Servicing (Equity Risk)

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Chapter 2: Structural Architecture, HoldCo vs. OpCo Dynamics & Cash Flow Mechanics

To master Structured Promoter Funding, a finance professional must understand the fundamental structural separation between the Parent Holding Company (HoldCo) and the Operating Subsidiary Company (OpCo). In most large Indian corporate groups, operating assets, commercial contracts, manufacturing facilities, and primary EBITDA generation reside within OpCos. The promoters hold their equity ownership through an unlisted private holding company or core investment company (HoldCo).

2.1 Structural Subordination & Upstreaming Mechanics

Structured promoter debt raised at the HoldCo level is structurally subordinated to all direct operating debts, trade liabilities, and statutory obligations of the OpCo. OpCo cash flows must first satisfy OpCo operating expenses, senior bank debt principal/interest, statutory taxes, and mandatory capital expenditure before any residual cash can be legally upstreamed to the HoldCo.

Legal cash upstreaming from OpCo to HoldCo occurs through three primary contractual channels:

1. **Interim & Final Dividends:** Governed strictly by Section 123 of the Companies Act 2013. Dividends can only be declared out of clear statutory profits after setting off accumulated losses and providing for depreciation.
2. **Brand Royalties & Management Fees:** Contractual fees paid by OpCo to HoldCo for intellectual property licensing or central management services, subject to arm's-length testing under Section 188 RPT rules.
3. **Share Buybacks & Capital Reductions:** Governed by Section 68 of the Companies Act 2013, enabling OpCo to buy back shares from HoldCo using accumulated free reserves.

2.2 Share Pledge Cover Ratios & Dynamic Margin Call Mechanics

The cornerstone security mechanism in promoter funding is the Share Pledge Cover Ratio. It defines the required market value of pledged dematerialized shares relative to the total outstanding debt facility. The formula is expressed as:

Share Pledge Cover Ratio = (Number of Pledged Shares × Current Stock Price) / Total Outstanding Debt Facility

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Standard institutional promoter funding structures establish a minimum Initial Cover Ratio of 2.0x to 3.0x (equivalent to a Loan-to-Value LTV of 33.3% to 50.0%). To protect lenders against equity market volatility, the financing agreement embeds a multi-tier Margin Call Protocol:

- **Baseline Initial Cover (e.g. 2.50x / 40% LTV):** Established at initial disbursement. If OpCo share price trades normally, no action is required.
- **Margin Call Trigger Level (e.g. 2.00x / 50% LTV):** If stock price declines causing cover to fall below 2.00x, a formal Margin Call Notice is issued. The promoter is contractually mandated to deposit additional demat shares or cash within 2 business days (T+2) to restore cover to the 2.50x baseline.
- **Event of Default Trigger Level (e.g. 1.50x / 66.7% LTV):** If the stock price plummets further and cover drops below 1.50x (or if the promoter fails to cure a Margin Call within T+2), an Event of Default is declared. The Debenture Trustee acquires statutory power under Section 176 of the Indian Contract Act 1872 to sell pledged shares in the open market to recover debt.

2.3 Escrow Trust & Retention Account (TRA) Priority Cash Waterfall

To ensure upstreamed dividends or cash flow proceeds are not diverted to other group projects, all HoldCo cash inflows are legally mandated to route through an Escrow Trust & Retention Account (TRA) maintained with a designated scheduled commercial bank. Cash distributions follow a strict contractual priority waterfall:

- **Priority 1: Statutory Taxes & Administrative Expenses —** Payment of mandatory corporate taxes, statutory filings, and escrow agent bank fees.
- **Priority 2: Senior Promoter Debt Cash Interest Servicing —** Monthly or quarterly servicing of current cash coupon interest obligations.
- **Priority 3: Debt Service Reserve Account (DSRA) Replenishment —** Topping up the DSRA reserve (holding 1 to 2 quarters of interest) if drawn previously.
- **Priority 4: Principal Scheduled Amortization / Cash Sweep —** Payment of scheduled principal installments or sweep of excess cash toward early debt reduction.
- **Priority 5: Permitted Surplus Release to Promoter —** Residual funds released to promoter's unencumbered account only after full compliance with all waterfall priorities and cover ratio covenants.

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Chapter 3: Regulatory, Statutory & Tax Framework in India

Structured Promoter Funding operates at the intersection of several key Indian regulatory regimes: Reserve Bank of India (RBI) credit directions, the Companies Act 2013, SEBI capital market regulations, and the Income Tax Act 1961.

3.1 Reserve Bank of India (RBI) Regulations

- **RBI Capital Market Exposure (CME) Limits:** Commercial banks face strict aggregate CME caps set at 40% of net worth, with bank lending against shares to individuals capped at INR 20 Lakhs. Consequently, commercial banks rarely participate in large-ticket promoter funding, leaving the market to specialized NBFCs and SEBI AIFs.
- **RBI CIC & NOFHC Directions:** Core Investment Companies (CICs) with asset size $\ge$ INR 100 Crores managing promoter holdings are subject to leverage limits restricting outside liabilities to 2.5x Adjusted Net Worth.
- **LEI & CRILC Reporting Mandate:** All corporate promoter borrowing entities with aggregate exposure $\ge$ INR 5 Crores must obtain a 20-digit Legal Entity Identifier (LEI) code and undergo real-time exposure tracking in the Central Repository of Information on Large Credits (CRILC).

3.2 Companies Act 2013 Statutory Compliance

- **Section 185 (Loans to Directors):** Imposes strict prohibitions and approval conditions on loans, guarantees, or security provided by a company to its directors or entities in which directors are interested.
- **Section 186 (Inter-Corporate Loans & Guarantees):** Caps inter-corporate loans and guarantees at 60% of paid-up share capital + free reserves OR 100% of free reserves. Any exposure exceeding these limits requires prior approval via a Special Resolution passed by shareholders.
- **Section 188 (Related Party Transactions - RPT):** Mandates arm's-length pricing tests and Audit Committee approval for upstream management fees or brand royalty transfers between OpCo and HoldCo.
- **Section 71 (Debenture Rules):** Mandates execution of a Debenture Trust Deed (DTD) within 60 days of allotment and registration of charge with the Registrar of Companies (ROC) via Form CHG-1.

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3.3 Taxation Framework & SEBI AIF Rules

Interest payments (cash and PIK coupons) incurred on debt-issued debentures are fully deductible as finance expenses under Section 36(1)(iii) of the Income Tax Act 1961, reducing HoldCo taxable income. Furthermore, SEBI Category II Private Credit AIFs enjoy full tax pass-through status under Section 115UB of the Income Tax Act 1961, passing interest income directly to LP investors without entity-level corporate tax leakage.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Benchmarks

Institutional underwriting of Structured Promoter Funding involves rigorous quantitative financial modeling and qualitative governance screening. Lenders evaluate both the creditworthiness of the promoter group and the trading liquidity of the pledged underlying shares.

Table 4.1: Quantitative Underwriting Benchmarks for Structured Promoter Funding

Underwriting Metric	Minimum Threshold	Preferred Benchmark	Strategic Purpose
OpCo Market Cap / Valuation	INR 1,000 Crores (Listed)	INR 2,500 Cr to INR 10,000 Cr+	Ensures sufficient equity value buffer
Promoter Shareholding Stake	Minimum 30% Total Holding	50.1% to 65.0%+ Controlling Stake	Prevents loss of corporate control upon pledge
Share Pledge Cover Ratio	Minimum 2.00x Cover (50% LTV)	2.50x to 3.00x Cover (33%-40% LTV)	Absorbs equity market price volatility
Dividend Upstream Coverage	Minimum 1.25x Debt Servicing	1.50x to 2.00x Coverage	Ensures non-market cash debt servicing
Consolidated Group Net Debt/EBITDA	Maximum 4.50x Net Debt	2.50x to 3.50x Leverage	Prevents systemic group over-leveraging
Average Daily Trading Volume (ADTV)	15-30 Days Full Liquidation	Under 10 Days Liquidation	Guarantees open-market share sellability

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation Suite

Securing a structured promoter funding facility requires a multi-layered collateral architecture and a comprehensive legal documentation suite to ensure enforceability under Indian law.

- **Pledge over Dematerialized Shares:** Executed via NSDL/CDSL depository pledge agreements. The pledge is formally recorded in the depository system, preventing any unapproved share transfers.
- **Non-Disposal Undertaking (NDU):** Legal undertaking executed by promoters over unpledged shares, preventing them from selling or encumbering remaining equity without lender approval.
- **Escrow Trust & Retention Account (TRA) Charge:** Exclusive first charge over the designated Escrow TRA account receiving all upstreamed dividends, brand royalties, and capital proceeds.
- **Debt Service Reserve Account (DSRA):** Bank fixed deposit or cash reserve holding 1 to 2 quarters of cash coupon interest.
- **Promoter Personal & Corporate Guarantees:** Irrevocable, unconditional personal guarantee executed by the promoter and corporate guarantees from holding entities.

Table 5.1: Master Documentation Suite for Structured Promoter Funding

Legal Document	Signatory Parties	Core Purpose & Statutory Perfecting
Debenture Trust Deed (DTD)	HoldCo Issuer & Debenture Trustee	Establishes debt terms, repayment schedules, and trustee covenants u/s 71
Share Pledge Agreement & POA	Promoter Pledgor, Trustee & Depository	Creates formal NSDL/CDSL pledge and grants Irrevocable Power of Attorney
Escrow & TRA Agreement	HoldCo, Escrow Agent Bank & Trustee	Establishes priority cash waterfall and blocks

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		unauthorized cash withdrawals
Non-Disposal Undertaking (NDU)	Promoter & Debenture Trustee	Prevents dilution or sale of unpledged promoter shares
ROC Form CHG-1 & CERSAI Filing	HoldCo Borrower & Debenture Trustee	Perfects statutory charge within 30 days under Section 77 Companies Act 2013

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Chapter 6: Indicative Tenure, Pricing Framework & Structural Terms

Structured Promoter Funding facilities are structured with customized tenure horizons, pricing models, and call protection terms tailored to the promoter's cash flow timeline.

- **Indicative Tenure Horizon:** Typically ranges from 18 months (1.5 years short-term bridge) to 60 months (5 years medium-term facility), with a standard 12-to-24 month principal moratorium period.
- **All-In Yield Pricing Equation:** All-In Yield to Maturity (YTM) ranges from 14.00% to 18.50% p.a. Composed of: Current Cash Coupon (8.50%–11.00% p.a.) + Payment-In-Kind PIK Accrual (3.00%–5.00% p.a.) + Upfront Processing Fee (1.00%–2.50%) + Exit Redemption Premium.
- **Call Protection & Lock-In:** Hard Lock-In periods (12 to 24 months) prohibiting early prepayment, backed by Make-Whole clauses guaranteeing the lender a minimum benchmark IRR (e.g. 1.25x MOIC).

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Chapter 7: Suitable Industries, Business Profiles & Strategic Use Cases

Structured Promoter Funding is best suited for established corporate groups operating in cash-generative, resilient sectors where underlying operating companies boast strong dividend-paying capacity or robust public market valuations.

- **Pharmaceuticals & Specialty Chemicals:** High-margin sectors with steady dividend yields and strong global export cash flows.
- **Consumer Goods, FMCG & Retail:** Resilient business models generating predictable daily cash flows and strong market caps.
- **Technology, SaaS & IT Services:** High EBITDA conversion companies enabling consistent holding company dividend transfers.
- **Infrastructure, Power & Renewable Utilities:** Long-term PPA annuity cash flows supporting structured promoter equity infusions.

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Chapter 8: Key Advantages & Structural Limitations Matrix

Table 8.1: Comparative Analysis — Key Advantages vs. Structural Limitations

Key Advantages for Promoters	Structural Limitations & Risks
100% Zero Equity Dilution — Preserves complete voting control and full upside	Equity Market Price Volatility — Stock price drops trigger mandatory margin calls
Rapid Custom Execution — Closed within 3-4 weeks via private credit funds	Higher Yield Cost — All-in YTM (14%-18.5%) exceeds senior bank debt costs
Flexible Cash Servicing — Split coupons (PIK) protect cash during growth phases	Structural Subordination — Subordinated to OpCo senior bank lenders
Tax Efficiency — Debenture interest is 100% tax-deductible u/s 36(1)(iii)	OpCo Dividend Restrictions — Senior OpCo debt covenants can block dividend releases
Unlocks Value from Non-Cash Assets — Monetizes illiquid promoter equity value	Risk of Enforcement — Default triggers open-market liquidation of pledged shares

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Chapter 9: Comprehensive Real-World Case Study (INR 400 Crore Structured Promoter Funding)

To illustrate the operational, financial, and legal mechanics of Structured Promoter Funding in India, this chapter presents a comprehensive real-world case study involving a PE buyout and promoter stake consolidation.

9.1 Transaction Profile & Borrower Context

- **Borrowing Holding Entity:** Vanguard Industry Promoters Private Limited (HoldCo)
- **Operating Subsidiary Entity:** Vanguard Advanced Pharma & LifeSciences Limited (VAPLL) — NSE/BSE Listed (Market Capitalization: INR 4,000.00 Crores; Annual Revenue: INR 1,800.00 Crores; Operating EBITDA: INR 350.00 Crores)
- **Transaction Trigger:** Early private equity investor 'Aura Capital' held a 10.0% equity stake in VAPLL (worth INR 400.00 Crores) and reached the end of its 8-year fund life. Aura Capital required a 100% cash exit. Promoters held 52.0% equity and wanted to buy out Aura Capital to increase shareholding to 62.0% without selling OpCo shares or inviting a third-party investor.
- **Structured Debt Solution:** Private Credit AIF 'Apex Credit Opportunities Fund' extended a INR 400.00 Crore Structured Promoter Debt Facility (NCDs) to HoldCo.

9.2 Financing Terms & Share Pledge Cover Structure

- **Facility Amount:** INR 400.00 Crores via Secured Non-Convertible Debentures (NCDs)
- **Facility Tenure:** 4 Years (48 Months) with 12-Month Principal Moratorium
- **Pricing Structure:** 9.50% p.a. Current Cash Coupon + 4.50% p.a. Payment-In-Kind (PIK) Accrual + 2.00% Exit Premium = 16.00% Target All-In YTM
- **Initial Share Pledge Collateral:** Promoter pledged 25.0% equity stake in listed OpCo VAPLL (worth INR 1,000.00 Crores based on INR 4,000 Cr Market Cap)
- **Initial Cover Ratio:** INR 1,000.00 Cr / INR 400.00 Cr = 2.50x Cover (40.0% LTV)
- **Margin Call Protocol:** Margin Call triggered if cover drops below 2.00x (T+2 top-up mandate); Default trigger if cover drops below 1.50x

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Table 9.1: Share Pledge Cover Ratio Sensitivity Analysis & Margin Call Stress Test

Market Scenario	OpCo Market Cap	Pledged Share Value	Effective Cover Ratio	Action Required / Covenant Status
Base Case (Disbursement)	INR 4,000.00 Cr	INR 1,000.00 Cr	2.50x Cover (40% LTV)	Fully Compliant — Normal Servicing
Moderate Stock Correction (-20%)	INR 3,200.00 Cr	INR 800.00 Cr	2.00x Cover (50% LTV)	Margin Call Triggered — T+2 Notice Issued
Post-Top-Up (Promoter Pledges +5%)	INR 3,200.00 Cr	INR 960.00 Cr (30% stake)	2.40x Cover (41.6% LTV)	Margin Call Cured — Baseline Restored
Severe Market Crash (-45% un-cured)	INR 2,200.00 Cr	INR 550.00 Cr	1.375x Cover (<1.50x)	Event of Default — Trustee Enforces Pledge

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9.3 4-Year Financial & Debt Amortization Waterfall Table

Table 9.2: 4-Year HoldCo Cash Flow, PIK Accrual & Debt Amortization Waterfall (INR Crores)

Financial Metric (INR Cr)	Year 1 (Moratorium)	Year 2	Year 3	Year 4 (Refinance/Exit)	Total Facility
OpCo VAPLL Dividend Payout	INR 65.00 Cr	INR 78.00 Cr	INR 95.00 Cr	INR 120.00 Cr	INR 358.00 Cr
HoldCo Upstream Inflow (62% stake)	INR 40.30 Cr	INR 48.36 Cr	INR 58.90 Cr	INR 74.40 Cr	INR 221.96 Cr
Cash Interest Servicing (9.5% p.a.)	INR 38.00 Cr	INR 38.00 Cr	INR 38.00 Cr	INR 38.00 Cr	INR 152.00 Cr
PIK Coupon Accrual (4.5% p.a.)	INR 18.00 Cr	INR 18.81 Cr	INR 19.66 Cr	INR 20.54 Cr	INR 77.01 Cr Accrued
HoldCo Ending Debt Principal	INR 418.00 Cr	INR 436.81 Cr	INR 456.47 Cr	INR 0.00 Cr (Refinanced)	Fully Extinguished

Case Study Outcome: In Year 4, as OpCo VAPLL EBITDA expanded from INR 350 Cr to INR 620 Cr and Market Cap surged to INR 8,500 Crores, the promoter executed a low-cost commercial bank takeover refinancing @ 8.75% p.a., fully extinguishing the INR 477 Crores ending structured debt balance (principal + PIK). The promoter successfully retained 62.0% equity ownership worth INR 5,270 Crores without diluting a single share.

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Chapter 10: Legal Framework under IBC 2016 & Share Pledge Enforcement Mechanics

In the event of monetary default or uncured cover ratio breaches, lenders relying on Structured Promoter Funding possess powerful statutory rights under the Indian Contract Act 1872 and the Insolvency and Bankruptcy Code (IBC) 2016.

10.1 Demat Share Pledge Enforcement under Section 176 Contract Act

Under Section 176 of the Indian Contract Act 1872, upon giving reasonable notice (typically 3 to 5 business days) to the pledgor, the Debenture Trustee has the statutory right to invoke the demat pledge in the NSDL/CDSL system. Pledged shares are transferred to the trustee's beneficial account and sold via stock exchange bulk/block deals or private placements to recover outstanding principal and interest.

10.2 IBC 2016 Insolvency Priority & Section 29A Disqualification

- **Section 5(8) Financial Creditor Status:** Promoter funding debenture holders hold formal Financial Creditor status with statutory rights to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7 of the IBC against defaulting HoldCos before NCLT.
- **Section 53 Liquidation Waterfall Priority:** Secured promoter debt holders enforcing security interest rank at top priority under Section 53(1)(b) alongside workmen's dues, ahead of statutory government taxes.
- **Section 29A Promoter Disqualification:** If a promoter's HoldCo or OpCo account becomes a Non-Performing Asset (NPA) for over 1 year, Section 29A explicitly disqualifies the promoter from submitting a resolution plan to re-acquire any group assets during CIRP.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination contains 15 high-yield, structured test questions designed to evaluate full operational, legal, and mathematical mastery of Structured Promoter Funding in India.

Q1: What defines Structured Promoter Funding, and how does it differ from a standard OpCo term loan?

Answer: Structured Promoter Funding is debt extended to corporate promoters or parent holding companies (HoldCos) backed primarily by demat share pledges over operating company (OpCo) equity, serviced via upstreamed dividends. In contrast, OpCo term loans are secured against physical fixed assets (land, machinery) and serviced via operating business EBITDA.

Q2: Why do commercial banks rarely extend large-ticket promoter funding against equity shares in India?

Answer: RBI Capital Market Exposure (CME) directions limit bank loans against shares to individuals at INR 20 Lakhs and cap aggregate bank CME at 40% of bank net worth. This regulatory constraint leaves the promoter funding market to specialized NBFCs and Category II Private Credit AIFs.

Q3: Explain the concept of Structural Subordination in promoter funding.

Answer: Structural Subordination means that debt raised at the HoldCo level sits behind all direct debt, trade liabilities, and statutory obligations of the OpCo. OpCo cash flows must first satisfy OpCo expenses and senior bank loans before residual cash can be upstreamed to HoldCo.

Q4: Calculate the required market value of pledged shares for a INR 300 Crore facility with a 2.50x initial cover requirement.

Answer: Pledged Share Value = Outstanding Debt × Cover Ratio = INR 300 Crores × 2.50 = INR 750.00 Crores.

Q5: How does a Margin Call protocol function when underlying OpCo stock prices decline?

Answer: If the OpCo stock price drops causing the cover ratio to fall below the margin call threshold (e.g. 2.00x), the lender issues a Margin Call Notice requiring the promoter to deposit additional demat shares or cash within 2 business days (T+2) to restore cover to the 2.50x baseline.

Q6: What three primary channels exist under the Companies Act 2013 for upstreaming cash from OpCo to HoldCo?

Answer: 1. Interim & Final Dividends u/s 123; 2. Brand Royalties & Management Fees u/s 188; 3. Share Buybacks & Capital Reductions u/s 68.

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Q7: What statutory restriction does Section 186 of the Companies Act 2013 impose on inter-corporate loans and guarantees?

Answer: Section 186 caps inter-corporate loans/guarantees at 60% of paid-up capital + free reserves OR 100% of free reserves. Exposures exceeding these limits require prior approval via a shareholder Special Resolution.

Q8: What tax benefit does Section 36(1)(iii) of the Income Tax Act 1961 provide to HoldCo debt issuers?

Answer: Section 36(1)(iii) allows full tax deductibility for cash and Payment-In-Kind (PIK) interest coupon expenses incurred on debt-issued debentures, reducing HoldCo taxable income.

Q9: What is the tax status of Category II Private Credit AIFs under Section 115UB of the Income Tax Act?

Answer: Section 115UB grants full tax pass-through status to Category II AIFs, passing interest and redemption premium income directly to LP investors without entity-level corporate tax leakage.

Q10: Why is Average Daily Trading Volume (ADTV) a critical underwriting metric for listed share pledges?

Answer: ADTV determines whether the lender can liquidate pledged shares in the open market upon default within 15–30 trading days without crashing the stock price.

Q11: What priority ordering governs cash flow distributions in a HoldCo Escrow Trust & Retention Account (TRA)?

Answer: Priority 1: Statutory Taxes & Escrow Fees; Priority 2: Senior Cash Interest; Priority 3: DSRA Replenishment; Priority 4: Scheduled Principal / Cash Sweep; Priority 5: Permitted Surplus to Promoter.

Q12: Under what statutory authority does a Debenture Trustee enforce demat share pledges upon default?

Answer: Under Section 176 of the Indian Contract Act 1872, allowing the trustee to invoke demat pledges in NSDL/CDSL and sell shares upon giving reasonable (3–5 day) notice.

Q13: What priority ranking do promoter debt debenture holders hold under Section 53 of the IBC 2016?

Answer: Secured debenture holders rank at top priority under Section 53(1)(b) alongside workmen's dues, standing ahead of statutory government taxes.

Q14: How does Section 29A of the IBC 2016 impact defaulting promoters during insolvency?

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Answer: Section 29A explicitly disqualifies promoters whose accounts have been Non-Performing Assets (NPAs) for over 1 year from submitting resolution plans to re-acquire company assets.

Q15: Explain the Payment-In-Kind (PIK) coupon mechanics in a 16.0% YTM promoter debt facility.

Answer: The facility splits pricing into a current Cash Coupon (e.g. 9.5% p.a. paid monthly) and a PIK Accrual Coupon (e.g. 4.5% p.a. compounded annually into principal), with residual yield realized as an Exit Redemption Premium.

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